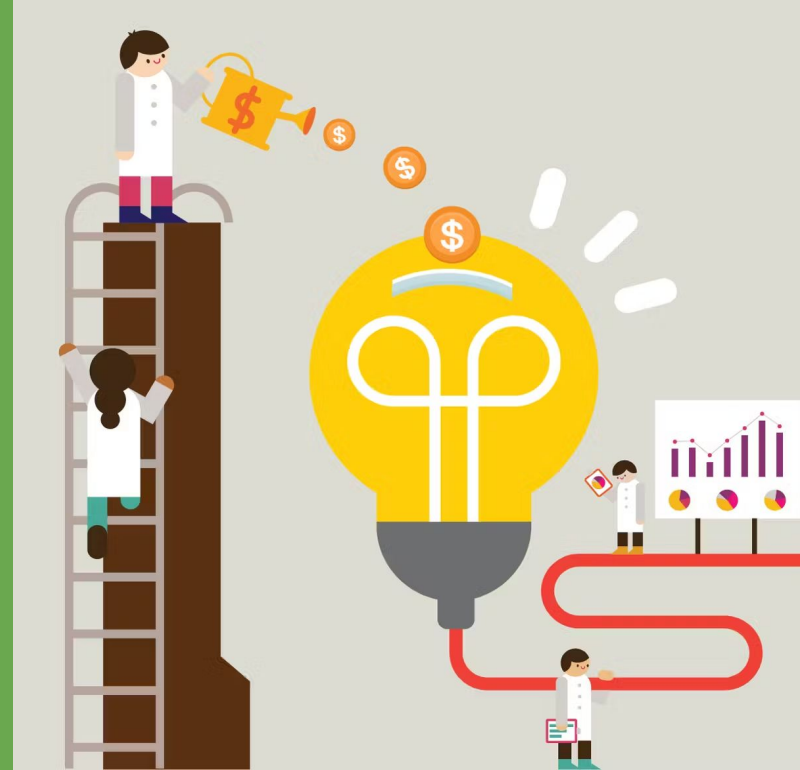


Theories of Entrepreneurship

Module 8



TYPES OF RESOURCES

There are four categories of resources, or factors of production:

- Natural resources (land)
- Labor (human capital)
- Capital (machinery, factories, equipment)
- Entrepreneurship

NATURAL RESOURCES

- **Natural resources** have two fundamental characteristics: (1) They are found in nature, and (2) they can be used for the production of goods and services. In order to provide benefit, people first have to discover them and then figure out how to use them in the the production of a good or service.
- A key feature of natural resources is that people can't make them. They also tend to be limited.
- However, new natural resources—or new ways of extracting them (such as fracking, for example)—can be discovered.

Labour

- **Labour** refers to human resources (also called human capital)—physical or intellectual.
- The word *labor* often calls to mind physical labor—working in a factory or field, constructing a building, waiting tables in a restaurant—but it can refer to any human input (paid or unpaid) involved in the production process.
- This broader definition of labor is particularly important in today's technology-driven business environment, which has come to rely much more on the intellectual contributions of the labor force than the physical labor required of working in a production line.
- Finally, labor brings creativity and innovation to businesses. Businesses use human creativity to address changes in consumer preferences and to invent goods and services that consumers haven't even imagined yet.

CAPITAL

- Capital is a resource that *has been* produced but is also used to produce *other* goods and services.
- This factor of production includes machinery, tools, equipment, buildings, and technology.
- Businesses must constantly upgrade their capital to maintain a competitive edge and operate efficiently.

ENTREPRENEURSHIP

- This resource is a special form of labor provided by an entrepreneur.
- An entrepreneur is someone who is willing to risk his or her time and money to start or run a business—usually with the hope of earning a profit in return.
- Entrepreneurs have the ability to organize the other factors of production and transform them into a business.
- Without entrepreneurship many of the goods and services we consume today would not exist.

UTILIZATION OF HUMAN RESOURCES

- It is essential to mention here that the greatest asset of any organization is Human resource management.
- It is the primary role of an organization is to meet the goals and objectives of the company through an effective and efficient process.

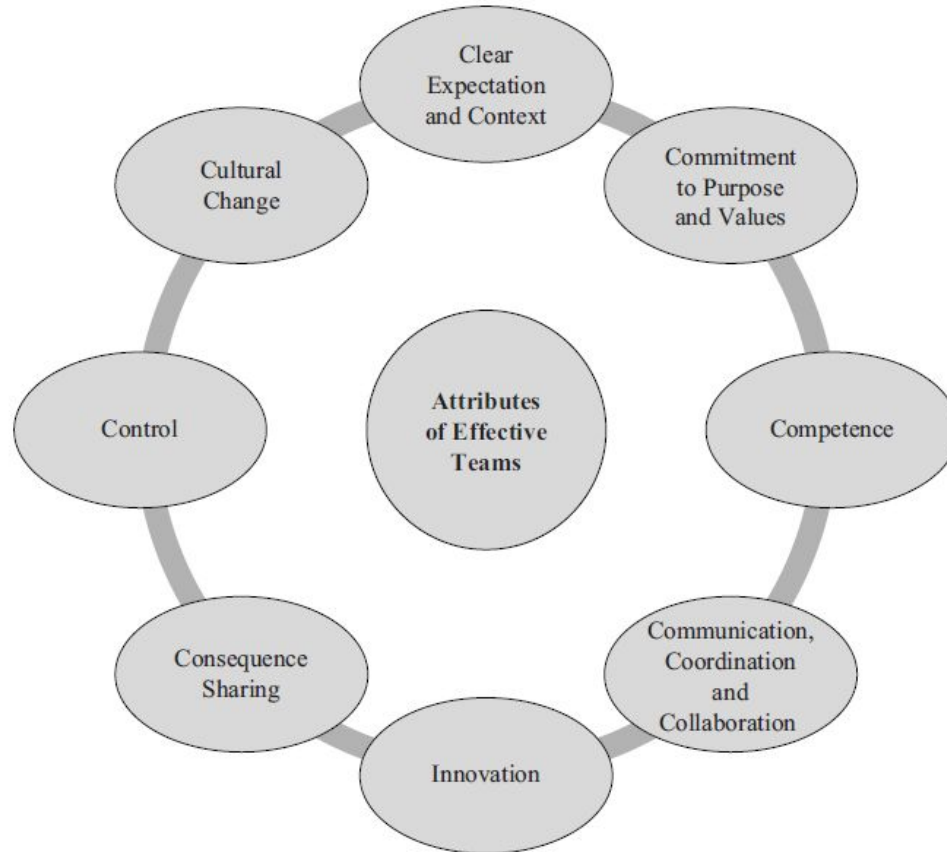
Importance of proper HR utilisation

- Proper utilization of human resources is important to maintain productivity.
- Moreover, the effective use of resources helps to engage in better visibility and reducing the risks oversight.
- The proper utilization of the HR process leads to success in an organization and maintains the development.
- Other factors that HR utilization process lead to manage the employees in order to increase labor productivity and recognize personnel management.
- The effective use of HR process helps to enhance the abilities as well as the capabilities of employees that further leads to organizational success.

Monitoring and Evaluating HR Programs

- The continuous monitoring and evaluation of HR utilization programs help to attract, motivate and retain employees within the organization.
- Additionally, it is analyzed and found that the HR utilization process is affected by new technologies such as the role of IT within the organizations.
- HR managers manage people by performing HR activities. It cannot be neglected that an organization succeeds without having HR practices. HR process has the biggest role in a company's success as well as development in a perfect way.

COMMON ATTRIBUTES OF EFFECTIVE TEAMS



- **Clear Expectation and Context**—The entrepreneur should clearly communicate their expectations to their partners as well as to the team members. The entrepreneur's task is to ensure availability of resources in the form of people, time and money as agreed to.
- **Commitment to Purpose and Values**—It is the commitment to the purpose that provides a clear sense of direction to each and every team member of the venture and more so the founding members.
- **Competence**—The entrepreneur should ensure that their founding partners have a positive attitude and possess complementary knowledge and skills, which provide great synergy.

- **Communication, Coordination and Collaboration**—Communication, coordination and collaboration are key to team building. It is important to be transparent among team members and share the concerns and anxieties with them. Leaders in successful organizations work hard to build a team that is collaborative and possesses diverse competencies, which help them in complementing the roles of different members
- **Creative Innovation**—Starting, establishing and growing a venture in today's context require harnessing the potential of a team to continuously come up with innovations. To respond to tomorrow's customer needs, yesterday's solutions may not work.
- **Consequences Sharing**—Successful entrepreneurs always blame themselves for failure and extend whole credit to the team for success. Although there may not be any legal or ethical obligation to share, successful entrepreneurs invariably look for opportunity or create opportunity to share the gains that accrue to the venture with the team members, irrespective of their financial stake.

- **Control**—Entrepreneurs in an organization should have built-in checks and balances to assess the performance and contribution of team members in the venture. This helps a lot in sharing with the team member facts and figures to convince them of their deviations from expectations and extraordinary contributions that have been made by some in the organization.
- **Cultural Change**—The main purpose of building an effective team is to build an organizational culture that inspires and motivates team members to contribute their best from within.

ESTIMATING FINANCIAL REQUIREMENT

The entrepreneur needs to be able to answer the question:

“How much money do I need and when do I need it?”

FINANCIAL REQUIREMENTS

1. Initial Investment Requirement- Capital requirement for equipment and structures necessary to start the business.
2. Subsequent Cost Requirement- This includes costs such as day-to-day servicing or repairs and maintenance.
3. Contingency Requirement- Contingency cost refers to the expenses set aside to deal with the uncertain or unexpected circumstances or events that may arise while on course to a business or project endeavor. It serves the purpose of providing a cushion or safety net against uncertainties and mitigating potential risks.

CAUSES OF FINANCIAL REQUIREMENTS

- Recruiting a management team
- Preparing product specifications
- Preparing product prototype design
- Product testing
- Initial production cost
- Initial marketing cost
- Initial administrative costs

FORECAST STATEMENTS USED FOR DECIDING THE SOURCES OF FINANCE

- SALES
- PRODUCTION
- REMUNERATION
- ACCOUNTS PAYABLE, ACCOUNTS RECEIVABLE
- OVERHEAD EXPENSES
- CAPITAL EXPENDITURES AND DEPRECIATION
- START UP COSTS

EQUITY FINANCING Vs. DEBT FINANCING

- To raise capital for business needs, companies primarily have two types of financing as an option: equity financing and debt financing.
- Most companies use a combination of debt and equity financing, but there are some distinct advantages to both.

EQUITY FINANCING

- Equity financing involves selling a portion of a company's equity in return for capital.
- For example, the owner of Company ABC might need to raise capital to fund business expansion. The owner decides to give up 10% of ownership in the company and sell it to an investor in return for capital. That investor now owns 10% of the company and has a voice in all business decisions going forward.
- The main advantage of equity financing is that there is no obligation to repay the money acquired through it.
- Of course, a company's owners want it to be successful and provide the equity investors with a good return on their investment, but without required payments or interest charges, as is the case with debt financing.

LIMITATIONS OF EQUITY FINANCING

- In order to gain funding, you will have to give the investor a percentage of your company.
- You will have to share your profits and consult with your new partners any time you make decisions affecting the company.
- The only way to remove investors is to buy them out, but that will likely be more expensive than the money they originally gave you.

DEBT FINANCING

- Debt financing involves borrowing money and paying it back with interest.
 - The most common form of debt financing is a loan.
 - Creditors look favorably upon a relatively low debt-to-equity ratio, which benefits the company if it needs to access additional debt financing in the future.
-
- **The advantages of debt financing are numerous.**
 - First, the lender has no control over your business.
 - Once you pay the loan back, your relationship with the financier ends.
 - The interest you pay is tax-deductible.
 - It is easy to forecast expenses because loan payments do not fluctuate.

LIMITATIONS OF DEBT FINANCING

- Debt financing could be a problem during payback if your company hits hard times or the economy, experiences a meltdown.
- Debt is an expense and you have to pay expenses on a regular schedule therefore it can be a problem if your business does not do as well as you expected.
- The lender may still require you to guarantee the loan with your family's financial assets which can create a lot of issues if the paybacks are not on time.

THANK YOU